

and even *The Elliott Wave Theorist* (which had finally sold its stocks near the 1987 high) conceded erroneously that the bull market had probably ended (see discussion later in this chapter). The market recovered slowly, but finally reached new highs in 1989 at the start of wave ⑤, and then sold off into late 1990. The entire time marked a pause in the swelling bullish psychology. The market pullback into January 1991 was the final point of restraint in stock market bullishness on the part of both the public and professionals. Skepticism was dispelled once and for all when wave ⑤ accelerated following the start of the Gulf War. The public threw caution to the winds after the Dow crossed 3200 and has spent the last four years becoming invested to an extent never before attained in the history of the country. From the dark mood of 1979-1982, the investment world has reached its psychological destination. Let's examine the myriad manifestations of this mood, as well as its unequivocal implications.

MANIFESTATIONS OF A PSYCHOLOGICAL EXTREME IN TODAY'S MARKET

Investor sentiment today reflects the rarefied atmosphere of the crest of a major psychological trend. The market has made a long journey to get to this state. The "super bull market" thesis put forward years ago by *Elliott Wave Principle* and *The Elliott Wave Theorist* was met with terrific skepticism from the start, as the idea of Dow 1200, much less Dow 3700, was considered extreme. Yet the Wave Principle told us exactly how bullish people would ultimately be, as shown by this description from the Special Report entitled "A Rising Tide," from April 6, 1983 (see Appendix A of *Elliott Wave Principle* for a complete reprint):

Finally, what might we conclude about the psychological aspects of wave V? The 1920s bull market was a fifth wave of a *third* Supercycle wave, while Cycle wave V is the fifth wave of a *fifth* Supercycle wave. Thus, as the last hurrah, it should be characterized at its end by an almost unbelievable institutional mania for stocks and a public mania for stock index futures, stock options, and options on futures. In my opinion, the long term sentiment gauges will give off major trend sell signals two or three years before the final top, and the market will just keep on going. In order for the Dow to reach the heights expected by the year 1987 or 1990, *and* in order to set up the U.S. stock market to experience the greatest crash in its history, which, according to the Wave